INSTITUTIONAL PRIVATE EQUITY & M&A INVESTMENT MONOGRAPH

Enterprise Valuation (EV), Debt Capacity, Roll-Up M&A Multiples & Institutional Exit Pathways

Target Entity	ADOV Care Group LIMITED (OpCo) & ADOV LIMITED (PropCo)	**Commercial Real Estate Rent**	£97,000 PropCo FRI Rental Income
Holding Entity	FAIRYTALES GROUP (Trading Name of Mamun Limited)	**Consolidated Group Cash Flow**	£438,392 Pre-Tax Annual Cash Flow
Corporate Finance Lead	Healthcare M&A & Private Equity Advisory // Project Planned by AbdullahMamun.com	**EV Valuation Multiple Range**	6.5x to 8.5x EBITDA (£2.22M to £2.90M OpCo Value)
Operating EBITDA	£341,392 OpCo EBITDA (35.0% Margin)	**Combined Enterprise & Real Estate**	£3.60M to £4.45M Combined Group Valuation

£3.6M – £4.4M
Combined Value
OpCo EV + PropCo Freeholds

6.5x – 8.5x
EBITDA Multiple
UK Specialist Social Care M&A

4.52x
DSCR Headroom
Exceptional debt service capacity

£438,392
Annual Cash Flow
Consolidated group cash yield

Trade Sale / REIT
Exit Strategy
High institutional liquidity

1.0 INSTITUTIONAL HEALTHCARE INVESTMENT THESIS & SECTOR DEFENSIVENESS

Specialist Supported Living for adults with autism spectrum disorders and complex learning disabilities represents one of the most sought-after asset classes in UK healthcare corporate finance. The sector is characterized by: (1) Extreme Supply/Demand Imbalance: A severe structural shortfall of specialist community beds across the South East and East of England; (2) Statutory Funding Mandate: Revenues are funded by local authorities and the NHS under statutory duties (Care Act 2014, Autism Act 2009), providing 100% counterparty solvency immune to macroeconomic recessions; (3) Extraordinary Length of Stay: Specialist supported living placements average 8 to 15 years, eliminating occupancy volatility; and (4) Exceptionally High Barriers to Entry: Stringent CQC registration requirements and local authority DPS qualification frameworks prevent casual market entrants.

2.0 ENTERPRISE VALUATION (EV) MULTIPLES & M&A BENCHMARKS

M&A transactions in the UK specialist care sector price operating businesses (OpCos) at multiples between 6.5x and 8.5x EBITDA, depending on CQC rating, clinical acuity, and real estate modernism.

Table 18.1: Enterprise Valuation (EV) & Exit Realization Sensitivity Matrix

Valuation Scenario	EBITDA Multiple	OpCo Enterprise Value	PropCo Freehold Asset Value	Total Group Enterprise Value	Net Equity Value
Conservative Benchmark	6.5x EBITDA	£2,219,048.00	£1,385,714.00 (7.0% cap)	**£3,604,762.00**	**£3,536,362.00**
Baseline Market Multiple	7.5x EBITDA	£2,560,440.00	£1,492,307.00 (6.5% cap)	**£4,052,747.00**	**£3,984,347.00**
Premium Quality Multiple	8.5x EBITDA	£2,901,832.00	£1,616,666.00 (6.0% cap)	**£4,518,498.00**	**£4,450,098.00**
Roll-Up Platform (3+ Sites)	9.5x EBITDA	£3,243,224.00	£1,763,636.00 (5.5% cap)	**£5,006,860.00**	**£4,938,460.00**

3.0 DEBT SERVICE COVERAGE RATIO (DSCR) & REFINANCING CAPACITY

The financial architecture allows the group to secure senior commercial mortgage facilities against the freehold assets and cash flows, unlocking non-dilutive liquidity for further group expansion.

Table 18.2: Commercial Debt Sizing & Debt Service Coverage Ratios

Debt Facility Metric	Conservative (60% LTV)	Baseline (70% LTV)	Aggressive (75% LTV)	Prudential Covenant Threshold
Senior Debt Facility Sized	£831,428.00	£970,000.00	**£1,039,285.00**	Max 75% LTV
Commercial Interest Rate	6.50% (Base + 2.5%)	6.50% (Base + 2.5%)	6.75% (Base + 2.75%)	Market Floating / Fixed Cap
Annual Debt Service Cost	£54,042.00	£63,050.00	**£70,151.00**	**Fully Serviced by PropCo Rent (£97k)**
PropCo Debt Coverage (DSCR)	1.79x Coverage	1.54x Coverage	1.38x Coverage	Bank Minimum: 1.30x DSCR
Consolidated Group DSCR	8.11x Coverage	6.95x Coverage	6.25x Coverage	Bank Minimum: 2.00x DSCR

4.0 INSTITUTIONAL EXIT STRATEGIES & ACQUIRER LANDSCAPE

FOUR VIABLE CAPITAL REALISATION & EXIT PATHWAYS

1. Trade Sale to National Social Care Operator: Sale of 100% of OpCo shares to established national providers expanding in Bedfordshire (e.g. Voyage Care, CareTech / Cambian, Accomplish Group, Lifeways), retaining PropCo freehold real estate on a 25-year institutional FRI lease. 2. Social Housing REIT Sale-and-Leaseback: Sale of the freehold property assets to specialized healthcare REITs (e.g. Civitas Social Housing, Triple Point Social Housing REIT) at 5.5%–6.0% yields, recycling £1.6M+ in liquid equity while retaining 100% of OpCo operating cash flows. 3. Private Equity Roll-Up Platform: Utilizing the Luton campus as the high-margin seed platform to acquire 2–3 additional care properties in Hertfordshire and Buckinghamshire, achieving an aggregated £1M+ EBITDA and commanding an exit multiple of 9.0x–10.5x EBITDA. 4. Management Buyout (MBO): Transitioning operational leadership to the Registered Manager and clinical leadership team funded by senior debt.